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To: Executive Leadership Team

From: Data Analyst

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Subject: 2017 Olist Marketplace Performance & Operational Diagnostic

I. Executive Summary

During the 2017 fiscal period, the marketplace generated **R$ 7.14M in total revenue** across **44,579 orders**, maintaining a strong overall customer satisfaction rating of **4.05 / 5.00 stars**. While commercial growth is highly stable—surging to a peak of R$ 1.0M+ in November due to Black Friday demand—critical structural dependencies in consumer financing and a strict operational penalty on late deliveries pose material risks to long-term customer retention and platform profitability.

II. Core Financial & Commercial Insights

- **The 10x Installment Financing Engine:** Credit card transactions represent **78% of all marketplace revenue**. Within this segment, consumer behavior is heavily anchored to long-tail financing. The **10-installment milestone alone generated R$ 1.17M**, completely outperforming all other installment brackets (2 through 9) combined. Retaining 10x interest-free financing structures is non-negotiable for sustaining checkout conversions.
- **Severe Geographical Concentration:** Demand is heavily centralized within the Southeastern corridor of Brazil. **São Paulo alone commands 35% of total top-line revenue**, with Rio de Janeiro (15%) and Minas Gerais (12%) combining to lock up over **62% of the entire marketplace volume**.

III. Operational Bottlenecks & Marginal Drags

- **The Logistics Retention Penalty:** Customer retention is entirely dependent on shipping performance. Orders arriving On-Time or Early maintain an exceptional **4.21-star rating**. However, a delivery slip of just **1–3 days triggers an immediate**

collapse in satisfaction to 3.11 stars, dropping further to a toxic **1.74 stars if delayed past 7 days**.

- **The Freight Tax:** Regional shipping costs eat up an aggressive **13.82% of total platform revenue**. Because freight fees severely penalize low-density states outside the Southeast, the platform cannot scale or solve delivery delays by simply subsidized premium courier lines without directly eroding marketplace margins.

IV. Strategic Recommendations

1. **Transition to Regional Warehouse Localization:** Shift from a centralized shipping model out of São Paulo to localized fulfillment centers near high-density hubs outside the Southeast. This will simultaneously bypass long cross-country transit times and cut down the 13.82% freight revenue drain.
2. **Safeguard 10x Financing Programs:** Ensure marketing campaigns and merchant partnerships explicitly protect the 10x installment option, as it acts as the primary vehicle driving high-ticket item adoption.
3. **Implement Predictive At-Risk Tracking:** Establish real-time alerting systems for fulfillment lines that hit a 48-hour delay window, allowing customer service teams to proactively manage expectations before the 1.1-star review penalty triggers.